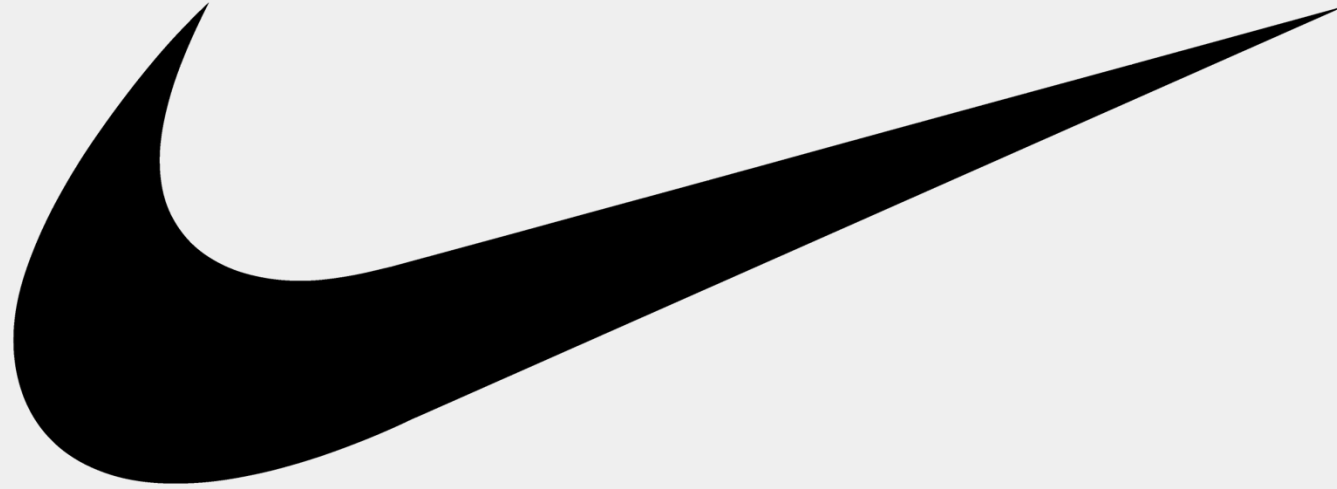




Nike Sweatshops

Just Exploit It

Sam, Ava & Emmy

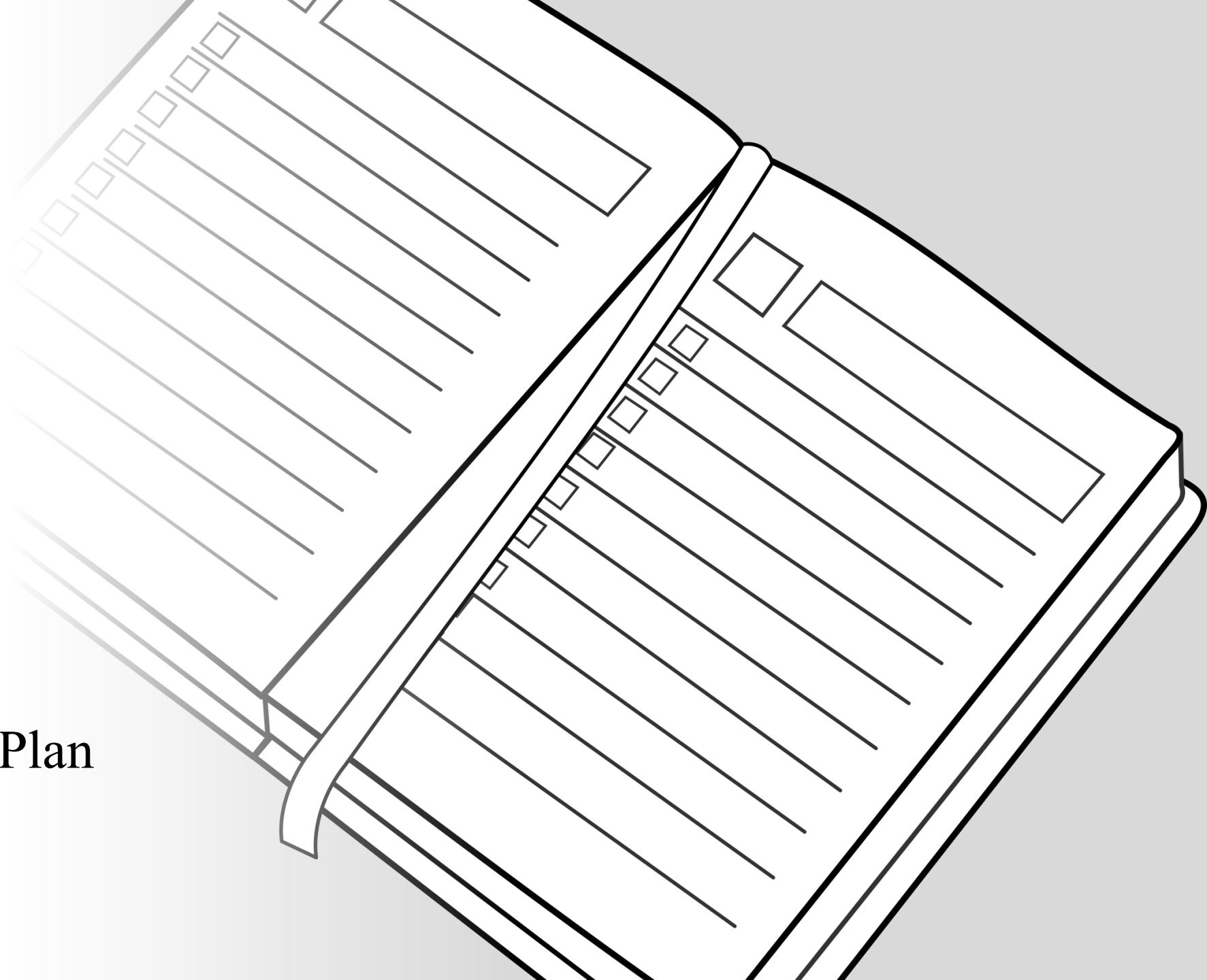
Introduction

- Nike Sweatshops
- Crisis highlighted *reactive* instead of *proactive*
- Leadership was not transparent nor accountable for their actions until time significantly went past
- Shows importance of STARCC



Agenda

- Case Overview
- Timeline
- Key Moments & Analysis
- Critiques
- Day 1 Response Plan
- Key Takeaways



Case Overview

In the early 1990s through the 2000s, there was widespread criticism and controversy over Nike's labor practices in its factories. It was revealed that Nike had been outsourcing production to factories where workers, often young women and children, were subjected to

- *Extremely low wages*
- *Poor working conditions*
- *Verbal and physical abuse*
- *Lack of safety*

Nike initially denied responsibility, claiming they do not have control over the factory's conditions. However, after many years, public and shareholder pressure led to Nike making changes:

- *Improved monitoring and audits of factory conditions*
- *Joined the fair labor association*
- *Increased transparency and labor standards in its supply chain.*



Timeline

- **1992** - Jeff Balinger article revealing an Indonesian Nike subcontractor was paying workers 14 cents per hour.
- **1996** - Nike finally responds too child labor allegations with a new department
- **1997** - Nike recruits activist Andrew Young to examine their overseas factories, he finds positive things, but the public believe he was too lenient in his investigation.
- **1998** - CEO addresses the public about their link with slavery and exploitation of workers
- **1999** - Nike joins the "Fair Labor Association" to establish code of conduct and monitor labor conditions
- **2002-2004** - 600 factory audits are conducted by Nike
- **2005** - Nike is the first prominent brand to release a roster of factories it employs in its yearly reports.



Key Moment 1

Founder Phil Knight Speech 1998

In response to public criticism and
speculation

*Connor, T. Im. Still Waiting for Nike To
Do It: Nike's Labor Practices in the
Three Years Since CEO Phil Knight's
Speech to the National Press Club.*

Analysis of Key Moment

- o Timing was *delayed*
- o Message was “The Nike product has become synonymous with slave wages, forced overtime, and arbitrary abuse.” Holding a serious, apologetic tone but defensive at times
- o **The National Press Club** in Washington D.C.
 - Journalists, Stakeholders, Public
 - o Reception was *mixed*. Stakeholders were appreciative while labor groups and activists were skeptical
 - o Impact on Reputation, it was the first step in rebuilding trust

On May 12, 1998, Nike's CEO and founder Mr. Phillip Knight spoke at the National Press Club in Washington, DC and made what were, in his words, "some fairly significant announcements" regarding Nike's policies on working conditions in its supplier factories. The announcements received favorable treatment from the press, with a New York Times editorial suggesting that Nike's new reforms "set a standard that other companies should match." Nike's critics were more cautious, expressing concern that Knight's promises represented an attempt to sideline their demands for decent wages and rigorous factory monitoring and replace them with a significantly weaker reform agenda. This report represents a comprehensive examination of Nike's labor performance in the three years after that speech was made. That performance is first assessed against the commitments Knight announced and is then compared with the human rights standards and independent monitoring practices labor rights organizations have demanded of the company.

Key Moment #2

Journalist Jeff Ballinger published a report

This marked the beginning of public awareness



Analysis of Key Moment

Jeffrey Ballinger published a report on Nike's Indonesian factories which focused on:

- The low pay
- Poor working conditions
- It featured an Indonesian worker who worked for a Nike subcontractor for 14 cents an hour, and documented other abuses

This marked the 1st major exposure of Nike's labor practices

- Nike deflected responsibility, saying they were not responsible for labor practices in the factories. Delayed denial was the only plan they used.
- They tried to shift the blame on the suppliers
- "Nike's relationship with factories was based on contracts, not on ownership, so it had limited control over working conditions."

Key moment 3

Nike reveals overseas factory names, locations

After years of criticism over its labor practices abroad, Nike Inc. is disclosing for the first time the names and locations of more than 700 factories that produce its sneakers, apparel and other products.

Analysis of Key Moment

- Released this information via their corporate responsibility report
 - Aimed to build trust and transparency with stakeholders
 - 108 pages
- Phil Knight quote from responsibility report
 - "we're using this report to play a little catch-up and draw a more complete picture"
- Nike was the first major apparel company to publicly provide this info.
 - They still provide this list in every CSR to this day

Critique

Empathy- *"Doing the right thing," over protecting profits*

STARCC

- Simple Message
- Timely
- Accuracy
- Relevant
- Credible
- Consistency

Our Response Plan: Public messaging

what

We would acknowledge the issue without deflecting & express empathy.

- Promise specific action and transparency
 - Make the core message:
- **“Nike acknowledges the concerns about labor conditions in some supplier factories. We take these allegations seriously and are committed to immediate, transparent action to ensure every worker involved in Nike production is treated with fairness and dignity.”**

WHEN?

- Immediately within 24 hours of Ballingers report gaining media attention & continue to follow up with “progress”

HOW

- Create a landing page on the website that would be a trusted place for people to go for information.
 - We would do a press conference (CEO Phil Knight)

Our Response Plan: Media planning

Traditional:

- Press conference led by CEO Phil Knight.
- Write an open letter article and send it to influential outlets such as New York Times, The Guardian, and The Wall Street Journal etc.
- Schedule interviews.

• *Social media strategy (modern day):*

- Use platforms such as Instagram, X, Facebook, and YouTube.
- Share worker stories and progress on the cases/investigations into the factories.
- Launch weekly updates through either video or text posts.
- Create hashtags that can house updates and positive information, such as #NikeListens

Our Response Plan: Stakeholder Communication

Internal

- Communicate over email and even in person with major stakeholders and employees
- Reaffirm Nike's values
- Explain the path forward of investigation and changing ways
- Establish a Supplier Integrity Hotline

External

Investors-

- Send detailed memos outlining reputational risk
- Have a roadmap for change
- Give long-term goals for ethical practices

Suppliers-

- Distribute a revised code of conduct emphasizing labor rights, safe working conditions, and consequences.

Our Response Plan: CSR & Brand Recovery

Short Term

- Conduct third party factory audits in high risk regions
- Temporarily pause production in factories under investigation
- Provide support for workers where violations are confirmed

Long Term

- Launch fair footprint initiatives to ensure that all Nike products are made in ethically certified factories.
- Join social responsibility initiatives.

[Stories](#)[Impact](#)[Company](#)[Newsroom](#)[English](#)[Impact Resources](#)[Purpose](#)[Sourcing](#)

Human Rights and Labor Compliance Standards

[Copy Link](#)

Our Commitment to Human Rights

At NIKE, we believe in and are committed to respecting human rights. As best practice for understanding and managing human rights risks and impacts, we look to the Universal Declaration of Human Rights, the International Labour Organization's Declaration on Fundamental Principles and Rights at Work, the UN Guiding Principles on Business and Human Rights, and the OECD Guidelines for Multinational Enterprises. Our commitment to respecting human rights is more specifically described in many policies, standards and strategies, including [Code of Business Conduct – Inside the Lines](#), [Supplier Code of Conduct](#) and [Code Leadership Standards](#), and [Privacy Policy](#) as well as our Diversity, Equity & Inclusion Strategy. These commitments apply to our employees, communities, consumers, sponsored athletes, and includes our own operations as well as the partners and suppliers we work with in our manufacturing and logistics supply chains.

[SPEAK UP PORTAL](#)[REPORT A CONCERN](#)[FOLLOW UP](#)[RESOURCES](#)[COMMONLY ASKED QUESTIONS](#)[PRIVACY POLICY](#)

SPEAK UP PORTAL



REPORT A CONCERN

This is where you file a report; you can share your name or remain anonymous.

[START HERE](#)

ASK A QUESTION

If you have a question about reporting a concern or on NIKE's Code of Ethics and related policies, ask us.

[START HERE](#)

FOLLOW UP ON A QUESTION OR CONCERN

Click here to follow up on a concern or question you asked.

[START HERE](#)

Grievance Mechanism — [SpeakUp portal](#)

Human Rights Committee

Nike has established a Human Rights Committee to oversee Nike's human rights risk management with respect to compliance with the German Supply Chain Due Diligence Act. The Committee is comprised of a team of cross-functional senior leaders and subject matter experts representing Nike global and EMEA business functions. The Committee reports at least once a year to the Nike Retail BV Board of Directors.

Human Rights Statement

Our Response Plan: Why this plan works

- **Situational Crisis Communication Theory:** Suggest companies should take responsibility when at fault to reduce reputational damage
- If Nike took accountability, even though they may not be completely at fault, it would make the situation better.
- Other cases:
 - Tylenol Crisis of 1982- deaths caused by a product laced with- led to a massive recall. The company used a plan similar to this and protected its reputation.

Key Takeaways

- Transparent and timely responses limit backlash and regain public trust.
- Proactive reform turns a scandal into an opportunity to lead industry change.
- Authentic engagement with stakeholders builds long-term brand resilience.
- Be proactive, not reactive!!!

It took Nike close to 10 years to change and choose to change a different narrative, other than denial. If they had done that initially, it would have reduced their reputational damage.

References

- Connor, T. Im. Still Waiting for Nike To Do It: Nike's Labor Practices in the Three Years Since CEO Phil Knight's Speech to the National Press Club
- https://en.wikipedia.org/wiki/Nike_sweatshops.
- <https://www.pbs.org/newshour/health/tylenol-murders-1982#:~:text=McNeil%20Consumer%20Products%2C%20a%20subsidiary,involvement%20in%20these%20random%20murders.&text=The%20case%20continued%20to%20be,purchased%20by%20the%20unknowing%20victims>.
- <https://www.jstor.org/stable/40343002?seq=7>
- <https://theworld.org/stories/2016/07/30/how-nike-solved-its-sweatshop-problem>
- <https://harpers.org/archive/1992/08/the-new-free-trade-heel/>
- <https://about.nike.com/en/impact-resources/human-rights-and-labor-compliance-standards>
- <https://geniustutor.ai/resources/nike-sweatshop-scandal>
- <https://www.nbcnews.com/id/wbna7480688>
- <https://investors.nike.com/investors/news-events-and-reports/investor-news/investor-news-details/2005/Nike-Issues-FY04-Corporate-Responsibility-Report-Highlighting-Multi-Stakeholder-Engagement-and-New-Levels-of-Transparency/default.aspx>